regulators for regulatory oversight. However, the SLCC meetings were irregular, and even when they did meet, ineffective. The Saradha scam shook the authorities out of complacency. As I write this more than two years after leaving the Reserve Bank, I checked with my former colleagues, and they told me that SLCCs across most parts of the country have been energized and are proactive in sharing economic intelligence and expanding financial literacy and awareness.

Although the business model of Saradha was predominantly that of a collective investment scheme, the scam nevertheless highlighted the issue of regulatory oversight of chit funds. The basic point to note is that chit funds are not illegal. However, and in some way adding to the confusion, even when chit fund firms are incorporated as companies and are therefore NBFCs by definition, they are not regulated by the Reserve Bank. As per a Central law, the power to regulate the chit funds has been vested in the state governments. I can say from my own experience as finance secretary in the Government of Andhra Pradesh and also as governor of the Reserve Bank, that regulating chit funds is nowhere near a priority for state governments. This neglect typically encourages fraudulent and dubious schemes to project themselves as chit funds so as to escape scrutiny. Indeed, a big lesson from the Saradha case for state governments is not only to regulate chit funds more actively, but also to monitor activities in the chit fund space closely to curb illegal activities masquerading as chit funds.

The Blow Up in the Microfinance Sector

The blow up in the microfinance sector in Andhra Pradesh in 2010 was the other major episode in the non-bank sector during my tenure that has had significant regulatory implications.

In some ways, the growth of the microfinance sector in India has been a remarkable success story of recent years; in some other ways, that very rapid growth had raised concerns about the quality of income-generation support that microfinance institutions were offering. Although the microfinance sector had presence across the country, it was particularly